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THE CASE FOR DISCLOSURES

As global standards converge and stakeholder expectations rise, transparent climate disclosures are becoming a hallmark

AS INDIA STRENGTHENS its climate commitments and global expectations for sustainability transparency increase, robust climate reporting has become an imperative rather than a choice. The Securities and Exchange Board of India's (Sebi's) Business Responsibility and Sustainability Reporting (BRSR) framework is currently mandatory for the top 1,000 listed entities, but there is a growing urgency for large unlisted private firms, unicorns, IPO-bound companies, and infrastructure giants to adopt similar disclosure standards.

The BRSR framework, influenced by global standards like the Global Reporting Initiative (GRI), provides a structured yet flexible mechanism for climate reporting. Although greenhouse gases remain a major focus, effective climate reporting should encompass more than just carbon emissions. Metrics such as resource efficiency, water and energy usage, biodiversity impacts, and waste management are becoming increasingly important, especially for sectors like agriculture, textiles, fast-moving consumer goods (FMCG), and heavy industry. Sebi's recent updates aim to simplify value chain reporting, introduce Green

Credits, and shift from third-party assurance to internal assessments to reduce compliance burdens, but meaningful reporting still requires clarity and rigor, particularly regarding environmental impact.

Climate reporting under BRSR requires disclosure of Scope 1 emissions (direct emissions from owned operations), Scope 2 emissions (indirect emissions from purchased electricity), and Scope 3 emissions (all other indirect emissions in the value chain, which are often the largest share for sectors such as manufacturing, mining, metals, retail, IT, and logistics). The BRSR also integrates governance and board oversight of sustainability, climate risk identification and resilience planning, and targets for emissions reduction and broader environmental impacts.

Private companies, though not yet legally obligated, have a strong business case for climate reporting. Climate risk now translates into financial risk, and stakeholders—including investors, lenders, clients, employees, and regulators—are increasingly factoring ESG (environmental, social and governance) performance into their decisions. The benefits for private companies include better access

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